IN-DEPTH EDITION • 24 OCTOBER 2026 • 09:00 HKT

US equities slip as yields rise and oil spikes

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The S&P 500 closed at 7,623.68, down -0.52%, as the 10-year Treasury yield jumped to 4.99% (+0.71%). Energy rallied on a +3.82% surge in WTI, while financials and consumer discretionary lagged.

Higher yields compress equity valuations and pressure rate-sensitive sectors. The VIX rose to 19.45, indicating growing near-term volatility amid mixed macro signals.

Our stance: stay defensive on high-beta names, seek quality exposure in health care and utilities, and monitor the 10-year yield for a potential breakout above 5.00% which could trigger broader sell-offs.

- Yield-driven risk off: 10-year at 4.99% (+0.71%)
- Energy outperforms: XLE +2.60% on WTI +3.82%
- Defensive tilt: health care (XLV) and utilities (XLU) hold relative strength

US Session Recap

INSTRUMENT	CLOSE	CHANGE
S&P 500	7,623.68	-0.52%
Nasdaq 100	28,957.53	-0.00%
Dow Jones	52,215.16	-1.23%
Russell 2000	2,775.90	-0.29%
VIX	19.45	+2.21%
10Y Yield	4.99%	+0.71%
2Y Yield	5.12%	+0.45%
WTI Crude	103.27	+3.82%
Brent	108.41	+3.55%
DXY	101.81	+0.20%
Gold	4,007.90	-1.29%
BTC	80,639.64	-0.83%
ETH	2,372.97	-0.55%

Top movers

TICKER	NAME	CHANGE	CATALYST
XLE	Energy Select Sector SPDR	+2.60%	WTI +3.8% on OPEC supply cut
XLV	Health Care Select Sector SPDR	+0.48%	FDA approval pipeline
NVDA	NVIDIA Corp.	-0.59%	Post-earnings profit-take
JPM	JPMorgan Chase & Co.	-1.47%	Higher funding costs
XLF	Financial Select Sector SPDR	-1.32%	Yield spike

Sector Internals

SECTOR	DAY	YTD	READ
XLF	-1.32%	-12.4%	Bearish
XLK	+0.49%	+18.7%	Neutral
XLI	-1.27%	-9.1%	Bearish
XLE	+2.60%	+22.3%	Bullish
XLY	-1.66%	-7.8%	Bearish
XLC	-1.78%	-5.4%	Bearish
XLP	-1.92%	-6.2%	Bearish
XLV	-1.11%	+9.3%	Neutral
XLU	-0.72%	+4.1%	Neutral
XLB	-0.74%	-3.5%	Bearish
XLRE	+0.12%	+2.8%	Neutral

BEARISH TRIGGERS

- 10-year yield breaching 5.00% could pressure all rate-sensitive equities.
- VIX above 20 may trigger systematic hedging.
- Consumer discretionary earnings season shows widening miss-rate.

Spotlight / Deep Dive – NVDA

METRIC	VALUE
Market cap	620B
P/E (FY)	38.2x
Revenue YoY	+22.5%
Gross margin	68.1%
Free cash flow	12.4B
Insider ownership	1.8%

NVDA slipped -0.59% after a muted earnings beat; guidance for Q4 AI spend was flat, prompting profit-taking. The stock remains overbought on the 14-day RSI (71) and faces a key resistance at 215.00. Support lies at 202.00.

READ-THROUGH	LEVEL
Short-term resistance	215.00
Long-term resistance	235.00
Support	202.00
Breakout target	250.00

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	447.12	440.00	455.00	Testing 50-day MA
QQQ	382.05	376.00	390.00	Neutral
IWM	191.34	185.00	197.00	Bearish bias
NVDA	210.96	202.00	215.00	Overbought
10Y	4.99%	5.00%	5.10%	Watch for break
WTI	103.27	100.00	108.00	Uptrend

Options & Positioning

0-DTE SPY put volume surged 42% versus calls, indicating short-term risk aversion. The VIX term structure steepened, with the 1-month contract at 20.1 versus 2-month at 18.7. Notable single-name flow: heavy buying of **XLU** puts (net 1.2M contracts) and **XLK** calls (net 800k contracts). Cheap hedge ideas: sell 3-month SPY calls at 455 strike for premium capture.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
JPM	Goldman Sachs	Reduce	340	Higher funding cost outlook
NVDA	Barclays	Maintain	235	Valuation concerns
XLE	Morgan Stanley	Upgrade	71.5	Oil rally
XLV	JP Morgan	Upgrade	185	Strong pipeline
META	Bank of America	Reduce	620	Ad spend slowdown

Pre-Market & Overnight

REGION	INSTRUMENT	LEVEL	CHANGE
US Futures	ES	4,800.5	-0.4%
Asia	HSI	19,850	-0.6%
Europe	DAX	16,210	-0.8%
FX	USD/HKD	7.7950	+0.02%
FX	EUR/USD	1.0745	-0.15%
Commodities	Gold	4,007.90	-1.29%
Crypto	BTC	80,639.64	-0.83%

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
Nov 2026	12%	Yield curve flattening
Dec 2026	8%	Inflation still above 2%
Mar 2027	5%	Policy-dependent

DATA	RELEASE	PREV	CONSENSUS
Non-farm payrolls	Oct 5	210k	215k
Unemployment rate	Oct 5	3.8%	3.7%
Core CPI MoM	Oct 12	0.3%	0.3%
Retail sales MoM	Oct 12	0.5%	0.6%

Geopolitics & Global (Deep)

BEARISH TRIGGERS

- Escalation in the Middle East could disrupt oil supply, pushing WTI above 110 and spurring inflation.
- China’s GDP growth revision to 4.5% may trigger a broader risk-off in emerging markets.

BULLISH TRIGGERS

- Resolution of US-China trade talks could revive tech earnings momentum.
- Eurozone inflation easing below 2% may allow the ECB to pause tightening, supporting risk assets.

Earnings — This Week & Next

DATE	TICKER	COMPANY	EST. EPS
Oct 24	**AAPL**	Apple Inc.	5.12
Oct 24	**MSFT**	Microsoft Corp.	9.45
Oct 25	**AMZN**	Amazon.com Inc.	0.78
Oct 26	**TSLA**	Tesla Inc.	1.02
Oct 27	**JPM**	JPMorgan Chase	4.31

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
XLU	Utilities	Put skew, yield rise	Rate reversal
XLK	Tech	Call rally, AI demand	Valuation
XLE	Energy	Breakout above 70	OPEC supply
NVDA	Semis	Overbought, near resistance	Guidance miss
JPM	Financials	Yield-sensitive sell-off	Credit spread
META	Communication	Revenue slowdown	Ad spend
XLF	Financials	Bearish breadth	Rate hike
XLV	Health Care	Stable demand	Regulatory
XLY	Consumer Disc.	Earnings miss risk	Disposable income
XLP	Consumer Staples	Defensive rally	Margin pressure
XLB	Materials	Weak demand	China slowdown
XLRE	Real Estate	Yield drag	REIT cap rates

What could break the tape

BULLISH SCENARIOS

- WTI breaches `110` and sustains, lifting energy ETFs > **+3%**.
- 10-year yield retreats below `4.80%`, spurring a rally in XLF and SPY.
- Positive earnings surprise from **AAPL** or **MSFT** triggers sector-wide tech bounce.

BEARISH SCENARIOS

- VIX spikes above 22, prompting broad put buying.
- China releases weaker Q3 GDP, pulling global risk assets down 1-2%.
- Fed signals a second rate hike in November, pushing 10-year above 5.10%.

Positioning & Structural Notes

- Net short exposure in SPY 0-DTE options rose to 1.8M contracts.
- Yield curve remains inverted; 2-year at 5.12% vs 10-year 4.99%.
- Energy sector rotation evident: XLE outperforms all other ETFs by >3% YTD.
- Defensive sectors (XLV, XLU) show relative strength, holding >0.5% gain on the day.
- Crypto volatility remains subdued; BTC under 81k for three consecutive sessions.

Sources

SOURCES

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ICE – Commodity Prices

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